

LOGFRET, INC.,	:	
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Complainant,	:	
	:	
v.	:	Docket No. 18-10
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KIRSHA, B.V.,	:	
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,	:	
LINDA SIEVAL,	:	
	:	
Respondents.	:	
	:	

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Pursuant to Rule 227 of the Federal Maritime Commission’s Rules of Practice and Procedure,¹ Complainant Logfret, Inc. (“Complainant,” “Logfret” or “Logfret, Inc.”) respectfully submits this Reply (“Reply”) in Opposition to Respondents’ Memorandum of Exceptions and Brief in Support of Such Exceptions (“Memorandum of Exceptions”), served by Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval (collectively, “Respondents”) on March 26, 2020.

I. INTRODUCTION

In response to Respondents’ Memorandum of Exceptions, Logfret submits that the decision of the Administrative Law Judge (“ALJ”) to deny in its entirety Respondents’ Petition for Attorney Fees was appropriate and well-reasoned, and wholly consistent with the purposes of the Shipping Act of 1984, as amended (the “Shipping Act”), 46 U.S.C. § 40101 *et seq.*, as well as with established case law of the Federal Maritime Commission (“FMC” or “Commission”). The Petition for Attorney’s Fees and Supplement to Petition for Attorney’s Fees submitted by Respondents did not adequately explain why the Complainant should be compelled to pay for Respondents’ attorney fees in the underlying proceeding, nor did they justify why such a large award of attorney fees was merited. As yet another bite at the apple, Respondents have submitted this Memorandum of Exceptions in an attempt to, in effect, relitigate the legal and factual underpinnings of the entire underlying proceeding. Respondents’ efforts in this latest filing to make a *prima facie* showing of entitlement to nearly \$50,000 in attorney fees are no more persuasive than in their original petitions, and merely cloud the waters with irrelevant issues at a cost of prolonging this proceeding. Logfret respectfully asserts that the Commission should uphold the ALJ’s Order denying Respondents’ Petition for Attorney’s Fees in its entirety.

¹ 46 C.F.R. § 502.227(a)(2).

II. PROCEDURAL HISTORY

Logfret filed its Verified Complaint against Respondents before the FMC on November 9, 2018. Well more than 25 days passed from the date of filing of the Complaint with no response from Respondents, in violation of Rule 62(b)(1) of the FMC Rules of Practice and Procedure.² During this time Respondents not only failed to file an answer or provide a response of any kind, but also failed to make an appearance or serve any response on Logfret.³

On December 19, 2018, the ALJ issued an Order Requiring Answer, which *sua sponte* provided Respondents with additional time beyond the 25 days provided in Rule 62(b)(1) to file an answer or response to the Complaint. The December 19, 2018 Order stated, “Respondents’ answer must be filed by January 9, 2019, or they will be in default.” Further, on December 26, 2018, the ALJ issued a Notice Regarding Deadlines, which stated the Commission’s offices would be inaccessible temporarily as a result of the partial federal government shutdown. Accordingly, Respondents’ responsive pleading was required to be served on Logfret on or by January 9, 2019.

Counsel for Respondents reportedly mailed Respondents’ Motion to Dismiss to Complainant on January 9, 2019, according to a Memorandum dated a week after the deadline. However, counsel for Respondents failed to notify counsel for Logfret of the Motion to Dismiss

² 46 C.F.R. § 502.62(b)(1).

³ On December 12, 2018, Ms. Sieval apparently emailed, with Mr. Bergwerff on copy, an FMC web address (judges@fmc.gov) stating, among other things, that the FMC had published home addresses and private email addresses of Ms. Sieval and Mr. Bergwerff, and urging the FMC to redact this information. On December 13, 2018, the Secretary of the FMC responded by removing the Complaint from the FMC website “as a courtesy for the time being” and advising Respondents to file a Motion to request confidentiality. The Secretary of the FMC also advised that all documents in the proceeding must be filed in accordance with Rule 2 of the FMC Rules of Practice and Procedure (46 C.F.R. § 502.2).

by electronic mail on January 9, 2019, as requested in the Notices of Appearance. This Motion to Dismiss was also never physically delivered to Logfret's counsel, a failure that counsel for Respondents attributed as "both weather and federal government shutdown related." As such, it was only on the following Wednesday, January 16, 2018, that counsel for Respondents made it known to Logfret that it intended to make a special appearance in the proceeding and to serve a Motion to Dismiss.

On January 29, 2019, Logfret submitted a Motion to Request Extension of Time to File Complainant's Response to Motion to Dismiss, requesting an additional seven (7) days to submit a response. The following day, on January 30, 2019, the ALJ determined the requested brief extension was reasonable and granted the seven-day extension, until February 7, 2019. On February 7, 2019, Logfret submitted a Motion to Amend Complaint, as well as a Motion for Extension of Time to File Complainant's Response in Opposition to Motion to Dismiss. On February 12, 2019, the ALJ issued an Order requiring Logfret to supplement the Motion to Amend Complaint with a memorandum of law supporting the motion as well as a proposed amended complaint. In the same Order, the ALJ granted the Motion for Extension of Time to allow Logfret to file the supplemental documents.

On February 20, 2019, the deadline for the Amended Complaint and Memorandum of Support regarding same, federal government offices in Washington, D.C., including the offices of the FMC, were closed due to inclement weather.⁴ Given the closure of the FMC offices on February 20, 2019 and pursuant to FMC Rule 101, the Amended Complaint and Memorandum in Support were filed on February 21, 2019. On March 7, 2019 Respondents filed an Opposition to

⁴ Rule 101 of the FMC Rules of Practice and Procedure, 46 C.F.R. § 502.101, provides as follows: "If the Commission's offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday."

Motion to Amend Complaint and Statement of Impact of Proposed Amendment on Respondents' Motion to Dismiss. On April 24, 2019, the ALJ granted the Motion to Amend Complaint and further ordered that Logfret file its Opposition to Motion to Dismiss on or before May 8, 2019.

On May 8, 2019, Logfret filed a memorandum in opposition to Respondents' Motion to Dismiss. On May 20, 2019, Respondents filed a reply to Complainant's opposition to the motion to dismiss. The ALJ subsequently issued an Initial Decision granting Respondents' Motion to Dismiss, served September 17, 2019 ("Initial Decision"). On October 21, 2019, the Secretary of the Commission issued a Notice Not to Review, providing notice that that Initial Decision had become administratively final.

On October 23, 2019, Respondents filed a Petition for Attorney's Fees, requesting that the ALJ award fees to Respondents in the amount of \$47,518.00. On October 28, 2019, the ALJ served an Order to Supplement Petition for Attorney Fees, which instructed that Respondents may file a supplement to the Petition for Attorney's Fees by November 7, 2019. Respondents then filed a Supplement to Petition for Attorney's Fees ("Supplement to Petition") on that date.

Logfret submitted a Motion to Strike and memorandum in support of its Motion on November 14, 2019. On November 19, 2019, the ALJ served an Order on Complainant's Motion to Strike Petition for Attorney Fees, denying the order and directing Logfret to file its response to Respondents' Petition for Attorney's Fees and Supplement to Petition by January 13, 2020, which Logfret did. On February 20, 2020, the ALJ issued an Order denying in entirety Respondents' Petition for Attorney Fees ("Order Denying Attorney Fees"). On March 12, 2020, Respondents filed a Motion for Enlargement of Time to file a memorandum of exceptions, and a brief in support of such exceptions, with respect to the ALJ's Order Denying Attorney Fees,

which the ALJ granted on March 13, 2020. Respondents filed and served their Memorandum of Exceptions on March 26, 2020.

Pursuant to FMC Rule 227(a)(2), Logfret has twenty-two (22) days from date of service of the Memorandum of Exceptions to file a reply, until April 17, 2020.⁵ This Reply is therefore properly and timely submitted.

III. ARGUMENTS IN OPPOSITION TO RESPONDENTS' MEMORANDUM OF EXCEPTIONS

In their Petition for Attorney's Fees, Respondents ask the ALJ to award Respondents \$47,518.00 as "reasonable attorney fees," pursuant to Section 11 of the Shipping Act, 46 U.S.C. § 41305. Respondents' Petition for Attorney's Fees, at *3. Respondents bear the burden of establishing their eligibility and entitlement to any such award, and are therefore under an obligation to demonstrate why Logfret should be compelled to cover their fees. They are further required to sufficiently substantiate the relevant number of hours and to justify the reasonableness of the rates charged, among other things.⁶ The Petition for Attorney's Fees that Respondents submitted to that effect was wholly unpersuasive in justifying why Logfret should pay for Respondents' attorney fees in the underlying proceeding. Moreover, the Petition did not convincingly explain why such a large award of attorney fees would be merited, particularly for a proceeding that did not involve any discovery and, indeed, was dismissed at a preliminary

⁵ 46 C.F.R. § 502.227.

⁶ See *Edaf v. Crowley Caribbean Logistics, LLC*, et al., Docket No. 14-04 (served Sept. 14, 2016), *8 (citing *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984) and *Hensley v. Eckerhart*, 461 U.S. 424, 437 (1983)); *Baltic Auto Shipping, Inc. v. Michael Hitrinov et al.*, Docket No. 14-16 (served Oct. 25, 2017), *15.

pleading stage. The Petition also failed to adequately substantiate and justify the nearly \$50,000 in fees apparently generated by Respondents' counsel.

Consistent with FMC Rule 227, the standard of review by which the Commission reviews the ALJ's order denying Respondents attorney fees is *de novo*.⁷ Logfret respectfully submits that, in response to the Petition for Attorney's Fees, the ALJ exercised her reasonable and balanced judgement in considering and ultimately denying the petition, consistent with the purposes of the Shipping Act and the Commission's prior case law on this matter. Nothing in the Respondent's Memorandum of Exceptions demands a different outcome. Because the Respondents failed to meet their burden of showing entitlement to \$47,518.00 in fees, the Commission should deny Respondents' petition for an award of fees.

A. The ALJ Correctly Determined that Awarding Respondents Attorney Fees Would Not Be Consistent with the Purposes of the Shipping Act

As the ALJ concluded in her straightforward denial of Respondents' Petition for Attorney's Fees, Respondent have, first and foremost, failed to satisfy their burden to explain how entitlement to an award of attorney fees is consistent with the purposes of the Shipping Act. The Commission has directed that the "primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes."⁸ Because Logfret's prosecution of its claims at the FMC was done in good faith, the ALJ's denial of Respondents' petition for attorney fees was in furtherance of the Shipping Act, and the Commission should rule likewise.

⁷ 46 C.F.R § 502.227(a)(6); *Edaf*, Docket No. 14-04, at *8.

⁸ See Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Final Rule, 81 Fed. Reg. 10,508, 10,509 (Mar. 1, 2016).

In the underlying proceeding, Logfret strove to actively prosecute its claim, as zealously as it could and pursuant to its understanding of the present legal landscape created by the Shipping Act. As the ALJ noted in her decision denying Respondents’ Petition for Attorney’s Fees, “[a]lthough the elements needed to establish jurisdiction are well-settled, there were no similar cases discussing this jurisdictional scenario that would have provided clear guidance.” Order Denying Attorney Fees, at *6. The ALJ’s Initial Decision, in fact, provided the parties with that jurisdictional guidance and clarity. Logfret’s claims—while unfortunately dismissed—generated new and informative case law about the Commission’s jurisdiction, establishing yet another landmark in the legal landscape, to the benefit of the parties and the industry more generally. This type of activity is certainly in furtherance of the Shipping Act. As the ALJ herself concluded in the Order Denying Attorney Fees, “Petitioner has not met their burden to establish an entitlement to attorney fees. *The purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents’ attorney fees.*” *Id.* (emphasis added). After all, one of the purposes of the Shipping Act is to “establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs.”⁹ Adjudicating Logfret’s claim—and thereby establishing case law which the parties and industry at large may look to in resolving legal disputes—reduces costs associated with the need for additional government intervention or regulation.

By contrast, penalizing such activity by obligating a losing complainant to cover one or more respondents’ attorney fees runs counter to this purpose. It has a chilling effect on parties

⁹ See 46 U.S.C. § 40101(1).

who wish to bring good-faith claims before the Commission to try to redress injuries caused by another party's violations of the Shipping Act. In this proceeding, in particular, awarding the Respondents attorney fees would unfairly penalize Logfret, have that chilling effect on claims at the Commission, and be wholly inconsistent with the purposes of the Shipping Act.

B. The ALJ Correctly Determined that Awarding Respondents Attorney Fees Would Be Contrary to the Commission's Case Law

As Logfret noted in its Response to Opposition to Respondents' Petition for Attorney Fees, it is a well-established rule in the United States that generally each party to a legal proceeding must bear its own litigation expenses. As the U.S. Supreme Court recently noted in *Fox v. Vice*, "[o]ur legal system generally requires each party to bear his own litigation expenses, including attorney's fees, regardless whether he wins or loses."¹⁰ The rule is an integral part of U.S. law known as the "American rule." Proceedings before the FMC are no different. In its furtherance of the Shipping Act, the Commission has indicated an interest in adhering to federal rules and case law in the adjudication of private party disputes. This includes adoption of the general rule that each party must bear its own litigation expenses. The Commission must therefore exercise its discretion to award attorney fees only circumstances that warrant departure from the general presumption of the American rule. This is not one of those cases.

Indeed, in its case law on awards of attorney fees, the Commission has been very clear about the grounds for awarding fees to a respondent. In *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, the Commission considered a scenario where a complainant "knowingly disregarded the ALJ's orders on numerous occasions, abandoned its claim, forced multiple Respondents to expend significant resources of both time and money in their defense, and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the

¹⁰ *Fox v. Vice*, 563 U.S. 826, 131 S. Ct. 2205, 2213 (2011).

Respondents.”¹¹ Conduct of the kind in *Edaf*—where a complainant brought a claim against respondents, yet failed to engage with the process set up under the Shipping Act to resolve that claim—wastes the time and resources of all parties involved and, even more importantly, wastes the time and resources of the Commission. This in no way furthers the mission of the FMC and, indeed, frustrates that mission by consuming time and resources that could be put to productive use elsewhere by the Commission. The Commission appropriately awarded attorney fees to the respondents in the *Edaf* proceeding.

By comparison, with respect to the underlying proceeding, Logfret fully engaged with the administrative process set up by the Commission to resolve private party claims.¹² Logfret strove to zealously prosecute its claim and achieve relief from the injury caused by Respondents. In doing so, Logfret timely responded to all requirements, deadlines, instructions from the ALJ and other obligations that Logfret assumed in submitting the complaint at the FMC for formal adjudication. As the ALJ concluded in the Order Denying Attorney Fees, “Unlike the complainant in *Edaf*, Complainant *sub judice* did not fail to follow instructions and did not fail to prosecute its claims.” Order Denying Attorney Fees, at *6. In their Memorandum of Exceptions, Respondents relitigate, in effect, the entire proceeding in an attempt to motivate the Commission to award attorney fees. Logfret does not contest that the ALJ considered the merits of Logfret’s case and ultimately ruled that the case should be dismissed. Yet this alone does not provide the grounds for Respondents to be awarded attorney fees. The procedural history of underlying proceeding was a far cry from the situation in *Edaf* where the complainant was rightly compelled to pay attorney fees as a deterrent for its rampant misuse of the Commission’s

¹¹ *Edaf*, Docket No. 14-04, at *9.

¹² 46 C.F.R. § 502.62.

administrative process. The circumstances in *Edaf* are clearly distinguishable from those of the underlying proceeding, and the Commission should not award Respondents attorney fees in this case.

C. The ALJ Correctly Determined that Logfret’s Motive in Pursuing the Litigation Does Not Weigh in Favor of Awarding Respondents Attorney Fees

In her decision that Respondents are not entitled to attorney fees, the ALJ explicitly considered Logfret’s motive in pursuing its claims at the Federal Maritime Commission. The ALJ concluded: “While it is possible that Complainant was motivated by improper intent, whether to undermine a potential competitor, restrain competition, cause personal distress, or gain unfair advantage in the other litigation between the parties, it is also possible that Complainant wanted to pursue every avenue possible to legally protect its businesses interests. There is not sufficient evidence to determine Complainant’s motivation and therefore, this factor does not weigh in favor of granting the petition [for attorney fees].” Order Denying Attorney Fees, at *6. In the Memorandum of Exceptions, Respondents take issue with the ALJ’s finding and look to the Commission to reach a diametrically opposite conclusion. In particular, Respondents repeatedly attack Logfret’s action before the Commission as “objectively unreasonable, frivolous, and intended to harass.” *E.g.* Memorandum of Exceptions, *4.

Nothing—whether in Respondents’ Memorandum of Exceptions or elsewhere—provides a basis for such a conclusion. As discussed *supra*, Logfret brought its claim in a good-faith attempt to redress, under US federal law and jurisprudence, significant injury inflicted upon it by the Respondents. Logfret was, and remains, protective of its business interests and willing to guard these interests through enforcement of all potentially applicable legal remedies. Therefore, Logfret prosecuted its claims before the ALJ zealously and to the best of its ability, and in a manner fully consistent with the Shipping Act, case law, and direction from the ALJ. Certainly

Logfret brought a novel claim before the Commission based on the unique circumstances of its past dealings with Respondents. Yet the fact that the claim was ultimately unsuccessful is not a basis for granting Respondents attorney fees. Indeed, it is clear as a matter of law that the fact that a claim was not successful does not automatically means that it was objectively unreasonable.¹³ Throughout the proceeding, Logfret's claims, while ultimately dismissed, were nevertheless based on colorable interpretations of the Commission's jurisdiction.

Respondents' arguments to the contrary are an unjustified attempt to get yet another bite at the apple, one in which Respondents resort to, in part, *ad hominem* attacks in their effort to win attorney fees. Respondents' arguments must be seen for what they are: an attempt to muddy the waters, in hopes of pressing their unpersuasive case for attorney fees and at a cost of prolonging this proceeding. Despite Respondents' best efforts, maligning Logfret's "motives" fails to provide an adequate basis for the Commission to grant Respondents attorney fees.

¹³ *Baltic Auto Shipping*, Docket No. 14-16, at *19 (citations omitted).

IV. CONCLUSION

For the reasons set forth above, Logfret respectfully submits that the Commission should deny in its entirety Respondents' Petition for Attorney Fees.

Dated at Washington, D.C. this 17th day of April 2020.

Respectfully submitted,

/s/ Ashley Craig

Ashley W. Craig, Esq.

Venable LLP

600 Massachusetts Avenue, NW,

Washington, DC 20001

202-344-4351 (phone)

202-344-8300 (fax)

AWCraig@Venable.com

Counsel for Complainant

CERTIFICATE OF SERVICE

I hereby certify that I have served the foregoing document upon all parties noted below by mailing a copy to each such person:

Carlos Rodriguez, Esq.
Sylvia Bartell, Esq.

Husch Blackwell, LLP
750 17th Street, N.W., 9th Floor
Washington, DC 20006
Carlos.Rodriguez@huschblackwell.com
Sylvia.Bartell@huschblackwell.com

Counsel for Respondents

Dated at Washington, D.C. this 17th day of April 2020.

/s/ Ashley Craig
Ashley W. Craig
Counsel for Complainant